A DETERMINATION, ORDER AND DIRECTION CONCERNING THE DISPOSITION OF A CERTAIN RETROCESSION ARRANGEMENT BETWEEN THE FIRST REINSURANCE COMPANY OF HARTFORD, CONNECTICUT, AND THE MUNICH REINSURANCE COMPANY OF MUNICH, BAVARIA.

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By virtue of the authority vested in the President by an Act of Congress entitled "An Act to define, regulate and punish trading with the enemy and for other purposes", approved October 6, 1917, known as the "Trading with the Enemy Act" and the amendment to such Act in "An Act making appropriations to supply urgent deficiencies in the appropriations for the fiscal year ending June 30, 1918, and prior fiscal years on account of war expenses, and for other purposes", approved March 28, 1918, and the amendment to such Act embodied in "An Act making appropriations to supply deficiencies in appropriations for the fiscal year ending June 30, 1919, and prior fiscal years on account of war expenses and for other purposes" approved November 4, 1918, to make certain orders such as that herein contained, which authority has been delegated to me by Executive Order No.3016 and signed by the President on the third day of December, 1918, and

WHEREAS, evidence has been presented that a retrocession arrangement for life insurance was entered into between the First Reinsurance Company of Hartford, Connecticut, and the Munich Reinsuance Company, of Munich, Bavaria, under which arrangement there was automatically retroceded to the Munich Reinsurance Company a certain proportion of all insurance on lives assumed by the said First Reinsurance Company; and

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WHEREAS, the Alien Property Custodian has determined the said Munich Reinsurance Company to be an enemy not holding a license granted by the President, and has seized all the right, title and interest of said Munich Reinsurance Company arising in favor of the said Munich Reinsurance Company by reason of the said arrangement;

I hereby make the following direction, order, rule and regulation:

The Alien Property Custodian may and he is hereby ordered and directed to dispose of any and all rights accruing to the said Munich Reinsurance Company against the said First Reinsurance Company under the said general retrocession arrangement subsequent to April 6, 1917, by discharging the said First Reinsurance Company of all obligations to the said Munich Reinsurance Company thereunder and receiving a similar discharge from the said First Reinsurance Company to the said Munich Reinsurance Company of all obligations accruing in favor of the said First Reinsurance Company thereunder, but without disposing of any rights and/or obligations of the Munich Reinsurance Company in respect to the individual insurance contracts retroceded by the said First Reinsurance Company to the said Munich Reinsurance Company prior to April 6, 1917, under the said general retrocession arrangement.

My reasons, in the public interest, for the foregoing direction, order, rule and regulation are:

(A) That the aforesaid general retrocession arrangement between the said First Reinsurance Company and the said Munich

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Reinsurance Company was terminated at and abrogated by the declaration of war between the United States and Germany except as to the respective rights and obligations of the said First Reinsurance Company and the said Munich Reinsurance Company as to the insurance on lives retroceded by the said First Reinsurance Company to the said Munich Reinsurance Company prior to April 6, 1917 under such retrocession arrangement.

(B) That the only property or claim of any value taken over by the Alien Property Custodian by virtue of the aforesaid requirement and seizure is the obligation in favor of the said Munich Reinsurance Company in respect to insurance on lives retroceded by the said First Reinsurance Company to the said Munich Reinsurance Company prior to April 6, 1917, under such retrocession arrangement.

Done in the District of Columbia this 24th day of May in the year of Our Lord One Thousand Nine Hundred and Nineteen, and of the Independence of the United States of America the One Hundred and Forty-third.

Frank L. Polk

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